

# INVESTOR PRESENTATION

## Second Quarter 2018

# Grupo Bimbo Today

Control Group: 75%
Float: 25%

| Market cap(1) | Sales(2) | Adj. EBITDA(2) | Countries | Plants | Routes | Points of sale | Associates | Products |
|---|---|---|---|---|---|---|---|---|
| US$10 Bn | US$14.7 Bn | US $1.4 Bn | 32 | 202 | ≈59,000 | ≈3.1 mm | ≈141,000 | ≈13,000 |

## North America




## Mexico




## Latin America




## EAA




*(1) As of July 6th, 2018. Expressed in US$ at the FX of $18.98 Ps./US. (2) Net sales and Adjusted EBITDA for the last twelve months ended June 30, 2018 were Ps. 275,887 million and Ps. 26,390 million, respectively. Converted to US dollars using an average FX rate of the period of Ps. 19.37/US$. Adj. EBITDA: earnings before interests, taxes, depreciation, amortization and other non-cash items.*

# Globally Present, Locally Committed

**North America(1)**
- Sales: 51%
- Adj. EBITDA: 43%

83

**Mexico**
- Sales: 30%
- Adj. EBITDA: 56%

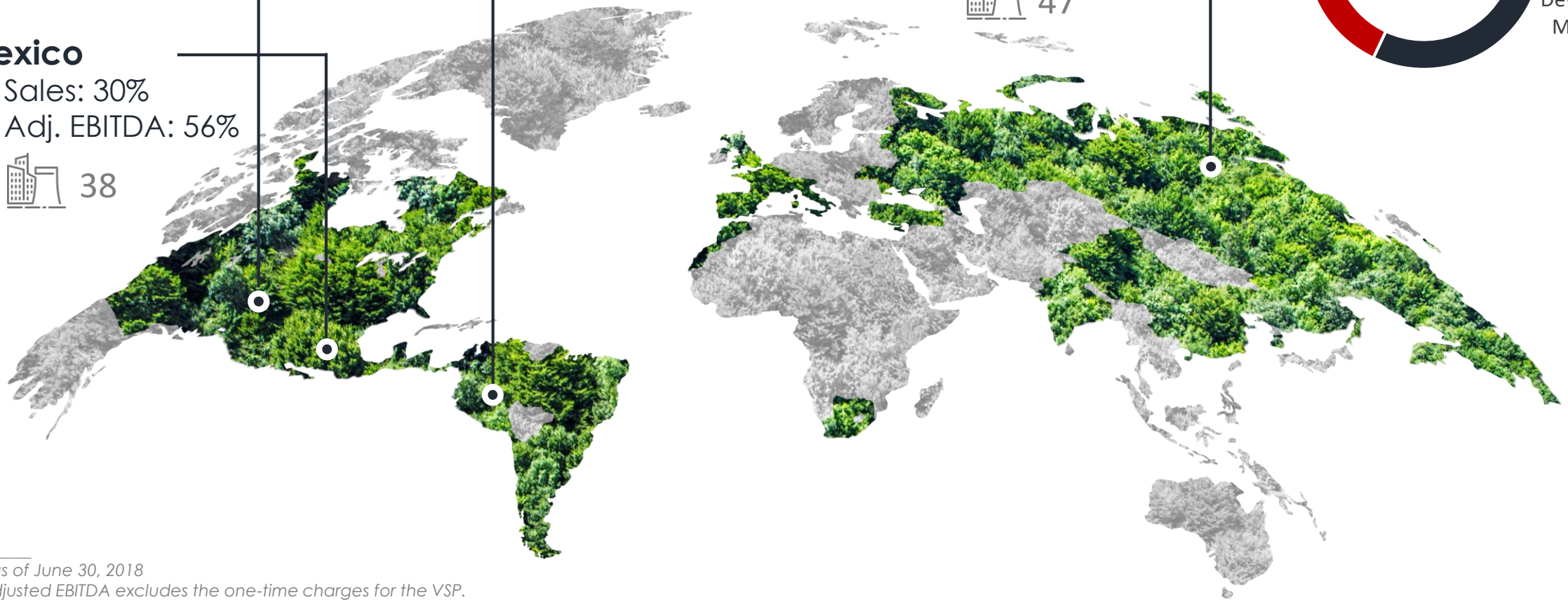
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**Latin America(2)**
- Sales: 10%
- Adj. EBITDA: 2%

34

**EAA(3)**
- Sales: 9%
- Adj. EBITDA: -1%

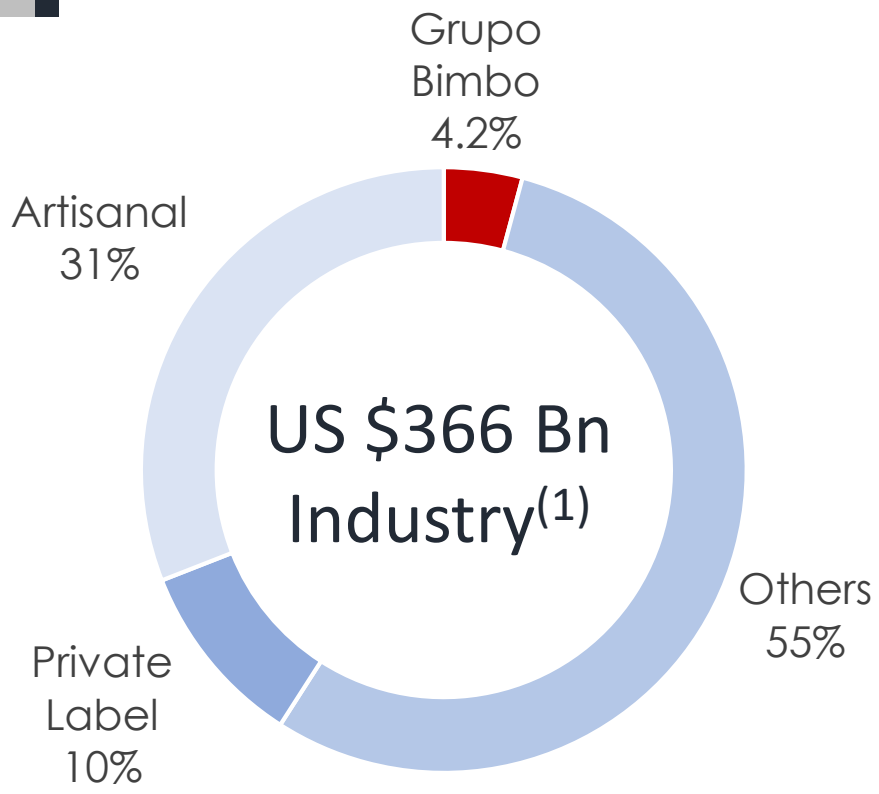
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*Figures as of June 30, 2018*
*Note: Adjusted EBITDA excludes the one-time charges for the VSP.*
*(1) Includes operations in the U.S. and Canada. (2) Includes operations in Central and South America. (3) Includes operations in Europe, Asia and Africa. (4) Grupo Bimbo sales split , last twelve months as of June 2018. Developed markets include U.S., Canada and Europe.*

# Resilient Industry with High Growth Potential




**GB represents**

**4.2%**

**of the global market share**

(1) Source : Global Data as of 2016

| | |
|---|---|
| Industry Fundamentals | • Resilience to economic downturns<br>• Non-discretionary consumer products<br>• High consumption frequency |
| Competitive Dynamics | • Highly fragmented industry<br>• Short shelf life of products makes industry local |
| Success Drivers | • Scale and diversification<br>• Strong franchise and brand equity<br>• Product quality<br>• Innovation capabilities<br>• Distribution efficiency |
| Unlocked Value | • Higher disposable income in Emerging Markets<br>• Taste shift in Asia and the Middle East<br>• Greater variety of premium and healthier products in developed markets |

# Strong Category and Channel Diversification

CATEGORIES

## Strong leadership position across markets

| | North America | Mexico | Latin America[1] | EAA[1] |
|---|---|---|---|---|
| Sliced Bread  | ✓ | ✓ | ✓ | ✓ |
| Buns & Rolls  | ✓ | ✓ | ✓ | ✓[2] |
| Bagels  | ✓ | • | | ✓[4] |
| English Muffins  | ✓ | • | | |
| Cookies  | • | ✓ | ✓ | |
| Cakes  | ✓ | ✓ | ✓ | ✓[3] |
| Pastries  | ✓ | ✓ | ✓ | ✓ |
| Tortillas  | • | ✓ | • | • |
| Salty Snacks  | • | ✓ | ✓ | • |
| Confectionery  | • | ✓ | • | |

• *GB market share not within top 3 in ranking*

CHANNELS

1 **Modern Channel**
Supermarkets, convenience stores, among others

2 **Traditional**
"Mom & pops"

3 **Foodservice**
QSR, schools, hospitals, restaurants, among others

4 **Others**
Vending machines, wholesale, among others

*Source: Euromonitor, IRi and Company Information*
*(1) Market share position for the countries where GB participates in each category. (2)Excludes U.K and India. (3) Excludes China, Morocco and U.K. (4) Excludes Spain*

# Global Brands with Top of Mind Awareness

**5** Brands + US $1 BILLION




**2** Brands + US $500 MILLION




**5** Brands + US $250 MILLION




**10** Brands + US $100 MILLION

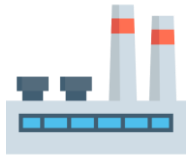



*Source: Internal information on estimated retail sales by brand considering the last twelve months as of June 30, 2018*

# World Class Production and Distribution Capabilities with Superior Execution at the Point of Sale



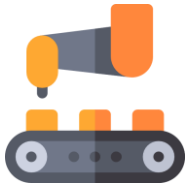
**62 million packages** produced everyday



**202 facilities** with access to state-of-the-art technology



Focused on **low cost** production



Investing in robotic process **automation**

## Benefit from Scale and Efficient Production Capabilities



To serve our customers, our distribution team **travels every day**, the equivalent of **98 laps** around



**Quality** and **freshness** guaranteed



More than **3.1 million** points of sale served



One of the **largest fleets** in America

# Our Innovation Platform

## First Half
### Success Stories




acelerada
BIMBO Bakeries USA

- Disruptive product innovation
- In-store bakery
- E-commerce
- Distribution capabilities

BAYS English Muffins






GRUPO BIMBO | VENTURES

- Investment in promising start ups
- Leveraging disruptive techology

LEVA
Food Technology Accelerator

**TECHNOLOGY**

- Electric vehicles
- Big Data: increasing our information processing and storage capabilities
- Artificial intelligence



Our Sustainable Way | GRUPO BIMBO

- Packaging and zero waste
- Water treatment in plants
- Residual energy recovery in ovens

Oxo-Biodegradable Plastic

ZERO WASTE

# The Management Team has Positioned Grupo Bimbo as a Global Market Leader



**DANIEL SERVITJE**
Chairman of the Board



**Audit Committee and Corporate Practices** (5 independent members)



**Results and Evaluation Committee** (5 members, 1 independent)



**Finance & Planning Committee** (6 members, 1 independent)

**DANIEL SERVITJE**
CEO

**Steering Committee**

| | | |
|---|---|---|
| **JAVIER A. GONZÁLEZ** Executive VP | **PABLO ELIZONDO** Executive VP | **GABINO GÓMEZ** Executive VP |
| **DIEGO GAXIOLA** CFO | **RAÚL OBREGÓN** Chief Global Transformation | **RAÚL ARGÜELLES** Chief HR and Corporate Affairs |
| **ALFRED PENNY** BBU President | **MIGUEL ÁNGEL ESPINOZA** Bimbo President | **RICARDO PADILLA** Barcel President |
| | **RAFAEL PAMIAS** Executive VP | |

## Top Management

- Track record of stability and sustainable growth
- Successfully developed and consolidated market leadership
- Focus on effective and rapid response to the constantly changing consumer demands and competitive environment

## Outstanding Corporate Governance

- Corporate Governance aligned with shareholders' interests
- 35% of board members are independent
- 3 corporate committees

## Focused on Social Responsibility

- Named "One of the most ethical companies in the world" in 2018 by the Ethisphere Institute
- Ranked among the most respected companies in the world(1)
- Recognized as "The company with the best corporate reputation in Mexico in 2017" by Merco. "Its reputation has been built on a strong corporate identity and brand image"
- The most committed company in Mexico to the use of renewable energies and sustainability - MIREC
- Social Responsibility Program as a key component of corporate identity
- Complies with the global strategy of the World Health Organization on diet, physical activity and health

ESR Empresa Socialmente Responsable

RI

World Health Organization

*(1) According to Reputation Institute, RepTrak Pulse as of 2016.*

# Building a Sustainable, Highly Productive and Deeply Humane Company

**We care** for our environment and act consequently





**We work** on innovations that prove a sustainable mindset

**We value** the person and respect human rights





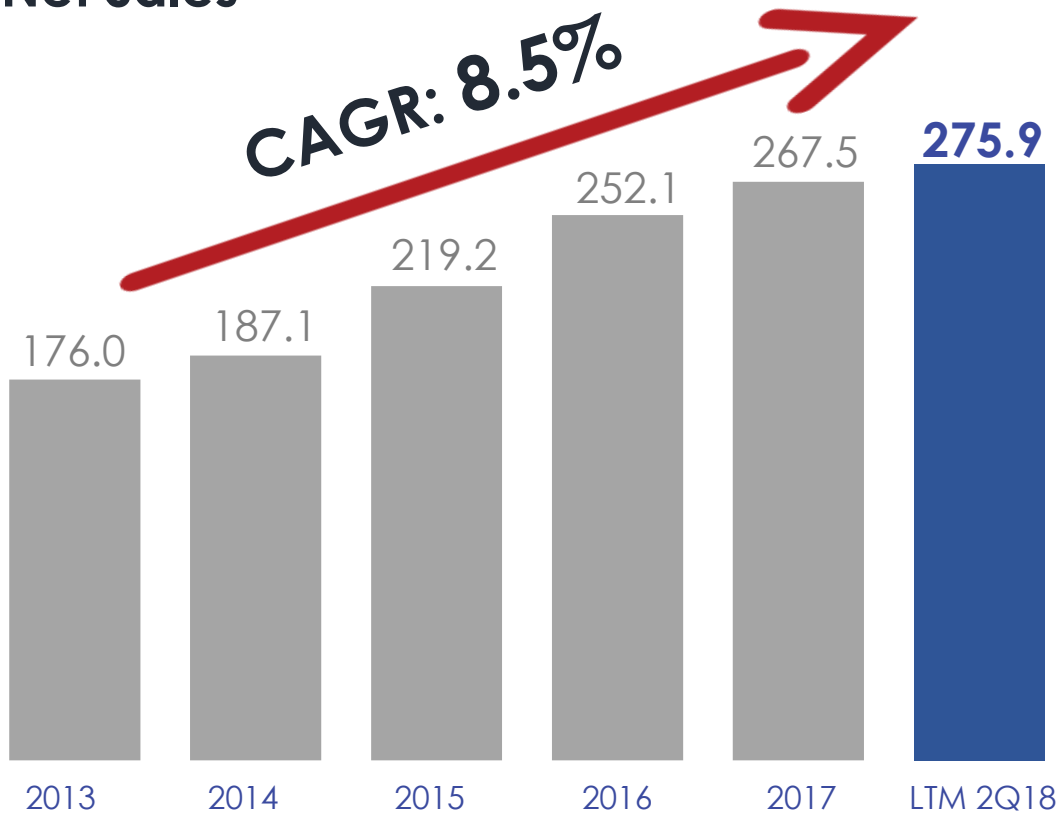
**We work** to create and promote sustainable communities



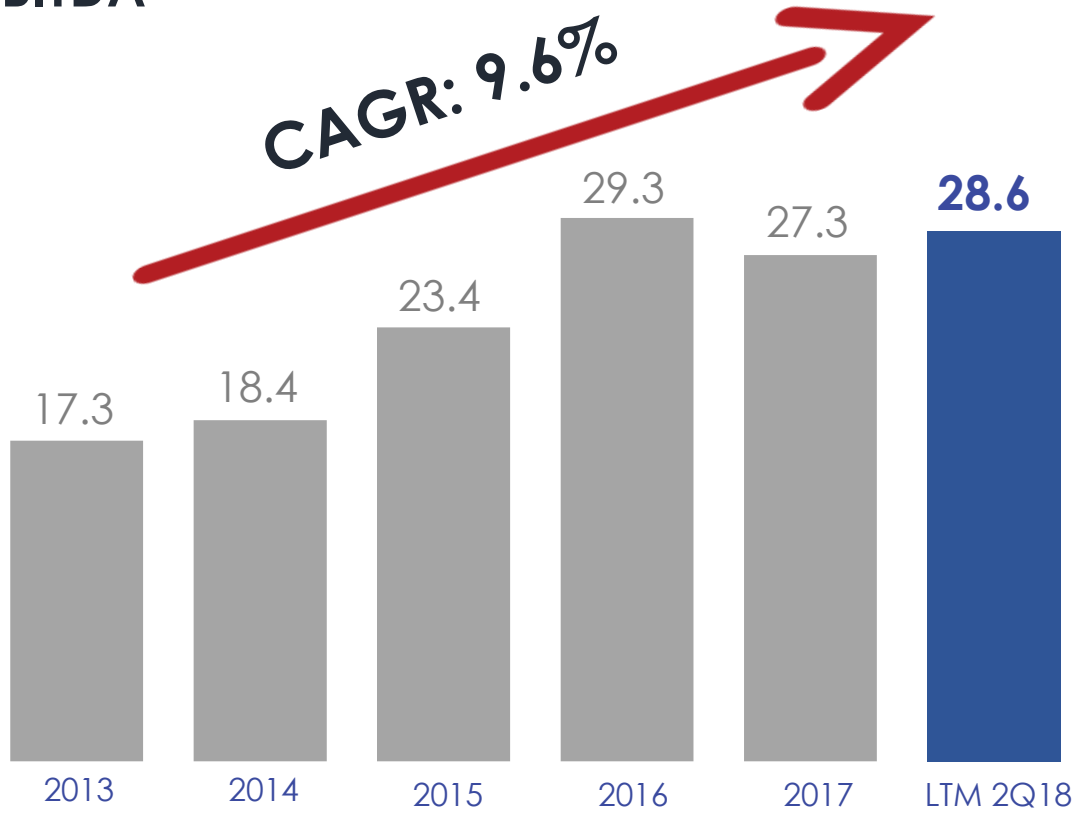
This is how we reach our **Vision**, fulfill our **Mission** and meet our **Purpose**

# Sustained Growth with Potential to Increase Profitability

## Net Sales[1]




## Adj. EBITDA[1]




| | 2013 | 2014 | 2015 | 2016 | 2017 | LTM 2Q18 |
|---|---|---|---|---|---|---|
| **GB** | **9.8%** | **9.9%** | **10.7%** | **11.6%** | **10.2%** | **10.4%** |
| Mexico | 15.8% | 16.7% | 17.6% | 18.7% | 17.7% | 18.0% |
| North America | 7.3% | 6.2% | 8.3% | 9.4% | 9.2% | 8.8% |
| Latin America | 0.7% | 3.9% | 2.1% | 1.0% | 1.9% | 4.8% |
| EAA | -3.8% | -0.9% | -4.4% | 2.7% | -8.4% | -7.0% |

(1) *Figures in billions of Mexican pesos and using a 5.5 year period.*

# First Half 2018 Review:



## Great news

- Mexico is flying
  - Strong volume performance
  - Increased client penetration growth in every channel, category and brands
- Set a record of the number of clients reached, achieving more than 3.1 million points of sale



## Investing to enhance profitability

- Voluntary Separation Program in BBU
  - Reduce organizational complexity
  - Increase productivity
- Integration: Donuts Iberia



## Improving our financial profile

- Zero base budgeting savings
- Global procurement initiative
- Issued one hybrid bond
  - US $500 mm @5.95%



## Challenges

- Pressure from commodity and energy inflation in North America
- Complicated environment in some markets



## Investing for future growth

- Strategic acquisition: Mankattan in China
- Agreement with Invenergy. Grupo Bimbo will reach 75% renewable energy at a worldwide level
- Capex projects to improve efficiency



## One time hits

- National truck strike in Brazil
- Voluntary Separation Program in the U.S $105 million dollars non-cash charge
- Legal expenses in North America

# LOOKING FORWARD

## By 2020, we transform the baking industry and expand our global leadership to better serve more consumers



# Accelerating and Creating Venues of Growth

## Bimbo QSR

- **New growth** avenue for Grupo Bimbo
- We are present in **73%** of the global QSR markets
- **High growth** industry

## CHINA

- World's **most populated country**
- **2nd** largest economy
- **6.7%** average GDP growth
- Increased manufacturing footprint from **1** to **10 plants** following the acquisition of Bimbo QSR & Mankattan

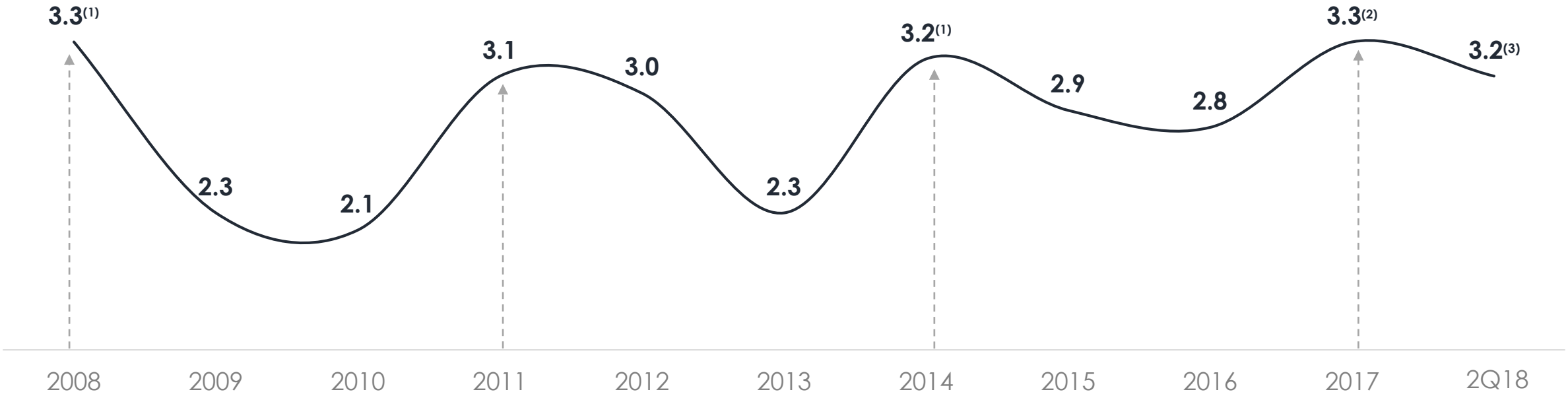
## INDIA

- **7%** average GDP growth
- **2nd** most populated country
- **#7** World economy
- Opportunity to **expand nationwide**
- **Fastest growing** economy in 2018
- Bakery industry **doubled in the last 5 years**

# Resulting in a Proven Track Record of Deleveraging

## Leverage

Total debt/ Adj. EBITDA




US$ 2.4 bn

US$ 709 mm

CAD$ 1.8 bn

US$ 650 mm

*(1) Pro-forma leverage ratio with the acquisition of Weston Foods and Canada Bread, respectively. (2) Pro-forma leverage ratio with the acquisition of East Balt Bakeries, without the adjustment the ratio would have been 3.5x. (3) Pro-forma leverage ratio excluding the VSP charge and with pro forma Bimbo QSR, without the adjustment the ratio would have been 3.5x*

# Conservative Debt Profile and Ample Liquidity

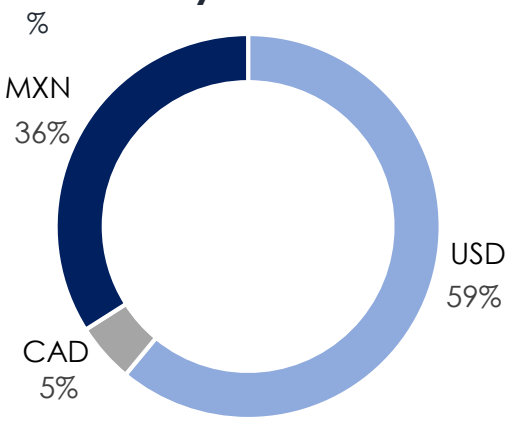
**Total Debt: US$4,456mm**
**Avg. Tenor: 11.1 yrs.**
**Avg. Cost: 6.0%**

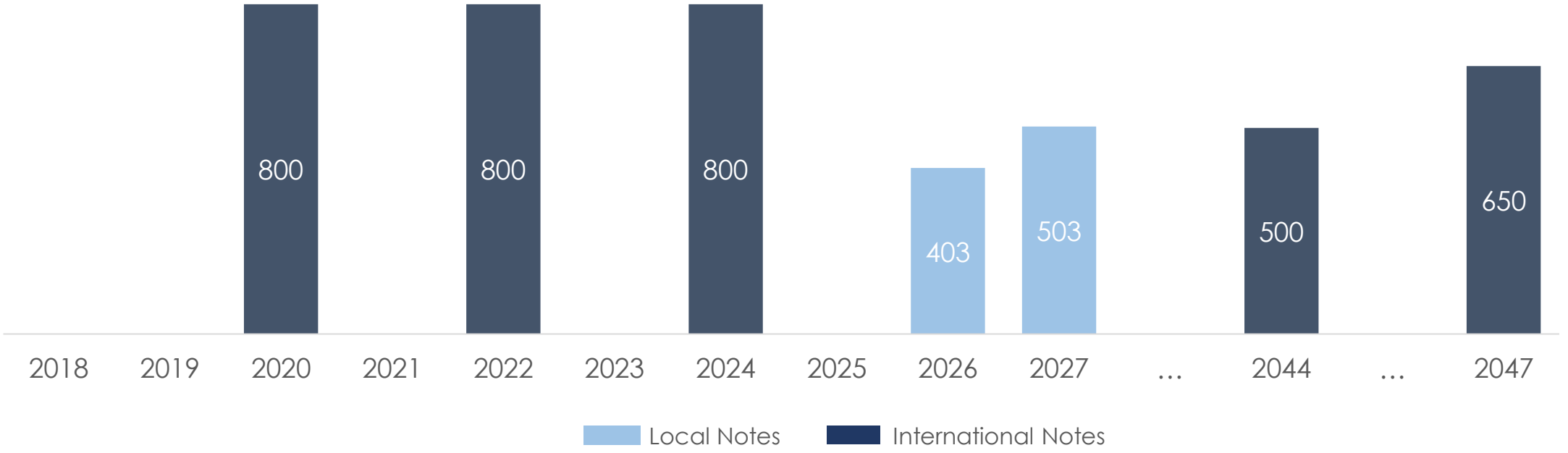
*Figures in US$ mm as of 2Q'18*

**≈US$2.1bn**
in undrawn committed revolver facilities



**Currency Mix(2)**




*Note: Amortization profile does not include US$ 232mm debt at subsidiary level. (2) Considers derivatives.*

# Key Investment Highlights



Global consumer food company, **leader in the baking industry**, with diversified portfolio of categories, channels and geographic presence



Global brands with **top of mind awareness**



**World class** distribution, efficient production capabilities and a leading innovation platform



**Experienced** management team and strong **corporate governance**



**Solid revenue base** with higher exposure to developed markets



**Growth opportunity** within a fragmented industry



**Proven sustained growth** with history of margin expansion



**Strong and consistent cash flow generation** that results in proven track record of deleveraging



**Strong financial position** with solid balance sheet and investment grade credit metrics



# Thank you!

*#ConElCariñoDeSiempre*

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